Nationwide Microbank Limited

Financial Statements

For the Year Ended 31 December 2021

Nationwide Microbank Limited

Contents

For the Year Ended 31 December 2021

	Page
Financial Statements	
Company Information	1
Directors' Report	2
Directors' Declaration	4
Independent Audit Report	5
Statement of Financial Position	8
Statement of Profit or Loss and other comprehensive income	9
Statement of Changes in Equity	10
Statement of Cash Flows	11
Notes to the Financial Statements	12

Nationwide Microbank Limited

Company Information

Registered office address	Ist Floor, Wilson Kamit Building PNG Institute of Banking & Business Management Torobert Training Centre Vanama Crescent Konedobu National Capital District Papua New Guinea
Postal address	PO Box 179 Port Moresby National Capital District Papua New Guinea
Address of service	Ist Floor, Wilson Kamit Building PNG Institute of Banking & Business Management Torobert Training Centre Vanama Crescent Konedobu National Capital District Papua New Guinea
Directors	Paul Mcvincent Nindipa Allan Marlin Jason Robert McIlvena Carol Kidu Wavie Ruth Anne Kendino Arthur Vera (appointed on 1 December 2021) Peter John Aitsi (appointed on 1 December 2021)
Chief Executive Officer	Anthony Michael Westaway
Secretary	None
Auditors	PricewaterhouseCoopers PNG PwC Haus, Level 6 Harbour City, Konedobu Port Moresby, NCD Papua New Guinea
Bankers	Kina Bank Bank of South Pacific Limited

Directors' Report
31 December 2021

The Directors have pleasure in presenting their report together with the financial statements of Nationwide Microbank Limited (MiBank) for the year ended 31 December 2021 and the auditor's report thereon.

Directors

The names of Directors in office as at the end of the financial year are listed on page 1.

Activities

The principal activities of MiBank during the financial year comprised of the provision of banking services including credit and savings to the general public of Papua New Guinea. During the year the Company continued to expand its banking network within Papua New Guinea.

Results

The income of the Company after providing for income tax amounted to K12,732,782 (2020: loss of K6,016,340).

Dividend

No dividend was paid or declared during the year.

Auditors

The financial statements for the Company have been audited by PwC (PNG) and should be read in conjunction with the Independent Audit Report as set out on pages 5 to 7.

Interests register

There were no transactions recorded in the interests register during the financial year.

Further disclosure

In compliance with Section 212(3) of the Companies Act 1997 the Company has obtained consent from all of its Shareholders not to disclose to matters required under Section 212(1)(a) and (d) to (j) of the Companies Act 1997.

Matters or circumstances arising after the end of the year

No matters or circumstances have arisen since the end of the financial year which significantly affected or could significantly affect the operations of the Company, the results of those operations or the state of affairs of the Company in future financial years.

Nationwide Microbank Limited

Directors' Report

31 December 2021

For and on behalf of the Board of Directors:

Director: .....

Director: .....

Signed at Port Moresby on this 5 day of April 2022

Nationwide Microbank Limited

Directors' Declaration

1. In the opinion of the Directors of Nationwide Microbank Limited:

   a). the statement of profit or loss and other comprehensive income is drawn up so as to give a true and fair view of the results of the business of the Company for the year ended 31 December 2021;

   b). the statement of financial position is drawn up so as to exhibit a true and fair view of the state of affairs of the Company as at 31 December 2021;

   c). the statement of changes in equity is drawn up to exhibit a true and fair view of the changes in equity for the financial year end 31 December 2021; and

   d). at the date of this statement there are reasonable grounds to believe the Company will be able to pay its debts as and when they fall due.

2. The financial statements have been prepared in accordance with International Financial Reporting Standards as adopted in Papua New Guinea and the Companies Act, 1997 of Papua New Guinea.

3. The key risks facing the Company are identified on a continuous basis. Systems have been established to monitor and manage risk including setting and adhering to a series of prudential limits and by adequate and regular reporting. These risk management systems are operating effectively and are adequate having regard to the risks they are designed to control.

Signed at Port Moresby

For and on behalf of the Board of Directors

Director .....

Director .....

Dated 5 April 2022

Independent auditor's report

To the shareholders of Nationwide Microbank Limited

Report on the audit of the financial statements

Our opinion

We have audited the financial statements of Nationwide Microbank Limited (the Company), which comprise the statement of financial position as at 31 December 2021, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and the notes to the financial statements which include a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying financial statements:

- comply with International Financial Reporting Standards and other generally accepted accounting practice in Papua New Guinea; and
- give a true and fair view of the financial position of the Company as at 31 December 2021, and its financial performance and cash flows for the year then ended.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' *Code of Ethics for Professional Accountants (IESBA Code)*, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

Our firm carries out other services for the Company in the area of audit related services. The provision of these other services has not impaired our independence as auditor of the Company.

Emphasis of Matter – Compliance with Prudential Standards

As described in note 1 b) to the financial statements, the Company was not in compliance with certain Prudential Standards issued by the Bank of Papua New Guinea (BPNG), the official authority for the prudential supervision of banks and similar financial institutions in Papua New Guinea. Those standards not in compliance at year end include Capital Adequacy, Single Borrower and Large Exposure Limits and Asset classification, Provisioning and Suspension of interest. The Company's approach to addressing non-compliance with these standards is outlined in note 1 b). Our opinion is not modified in respect of this matter.

Information other than the financial statements and auditor's report

The directors are responsible for the annual report which includes other information. Our opinion on the financial statements does not cover the other information included in the annual report and we do not and will not express any form of assurance conclusion on the other information.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the directors for the financial statements

The directors are responsible, on behalf of the Company, for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and other generally accepted accounting practice in Papua New Guinea and the Companies Act 1997, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements, as a whole, are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with the ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to

continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other legal and regulatory requirements

The Companies Act 1997 requires that in carrying out our audit we consider and report on the following matters. We confirm in relation to our audit of the financial statements for the year ended 31 December 2021:

- We have obtained all the information and explanations that we have required;
- In our opinion, proper accounting records have been kept by the Company as far as appears from an examination of those records.

Who we report to

This report is made solely to the Company's shareholders, as a body, in accordance with the Companies Act 1997. Our audit work has been undertaken so that we might state to the Company's shareholders those matters which we are required to state to them in an auditor's report and for no other purpose. We do not accept or assume responsibility to anyone other than the Company and the Company's shareholders, as a body, for our audit work, for this report or for the opinions we have formed.



PricewaterhouseCoopers



Jonathan Grasso
Partner
Registered under the Accountants Act 1996

Port Moresby
6 April 2022

Nationwide Microbank Limited

Statement of Financial Position
As At 31 December 2021

	Note	2021 PGK	2020 PGK
ASSETS			
Cash and cash equivalents	10	**18,004,275**	17,295,611
Investments held with Central Bank		**34,890,188**	24,588,986
Loans and advances to customers	11	**74,918,075**	82,540,921
Deferred tax assets, net	13	**6,103,720**	4,328,745
Property, plant and equipment	17	**5,343,360**	4,937,294
Right-of-use assets	18(a)(i)	**6,615,653**	8,471,478
Goodwill	19	**1,616,973**	1,616,973
Other assets	12	**6,854,969**	8,863,810
TOTAL ASSETS		**154,347,213**	152,643,818
LIABILITIES			
Deposits from customers	15	**118,221,180**	114,005,441
Other liabilities	14	**5,648,580**	4,760,567
Provisions	16	**1,023,187**	1,012,483
Lease liabilities	18(a)(ii)	**7,046,350**	9,001,483
Borrowings	20	**3,915,347**	18,104,057
TOTAL LIABILITIES		**135,854,644**	146,884,031
NET ASSETS		**18,492,569**	5,759,787
EQUITY			
Share capital	21	**15,263,526**	15,263,526
Retained earnings/(deficit)		**3,229,043**	(9,503,739)
TOTAL SHAREHOLDER EQUITY		**18,492,569**	5,759,787

Comparative period amounts have been restated to conform to presentation in the current year.

Signed at Port Moresby

For and on behalf of the Board of Directors

Director ..... Director .....

Dated: 5 April 2022

The accompanying notes form part of these financial statements.

Statement of Profit or Loss and Other Comprehensive Income
For the Year Ended 31 December 2021

	Note	2021 PGK	2020 PGK
Interest income	4	**46,809,176**	30,856,275
Interest expenses and other related charges	5	**(2,879,204)**	(1,952,192)
Net interest income		**43,929,972**	28,904,083
Fees and commission income	6	**8,413,586**	6,385,957
Investment income	7	**1,328,567**	1,045,189
Other operating income	8	**153,853**	2,053,122
Net operating income		**53,825,978**	38,388,351
Personnel expenses	9(a)	**(11,834,169)**	(10,371,650)
Depreciation	17,18	**(4,245,576)**	(5,658,565)
Impairment of financial assets	11	**(15,138,759)**	(17,367,546)
Operating expenses	9(b)	**(11,228,946)**	(10,851,370)
Finance cost (leases)	18	**(420,721)**	(728,532)
Income/(loss) before tax from operating income		**10,957,807**	(6,589,312)
Income tax credit	13	**1,774,975**	572,972
Income/(loss) for the year		**12,732,782**	(6,016,340)
Other comprehensive income		**-**	-
Total comprehensive income/(loss) for the year net of tax		**12,732,782**	(6,016,340)

Comparative period amounts have been restated to conform to presentation in the current year.

The accompanying notes form part of these financial statements.

Nationwide Microbank Limited

Statement of Changes in Equity

For the Year Ended 31 December 2021

	Note	Ordinary Shares PGK	Retained Earnings/ (Deficit) PGK	Total PGK
Balance at 1 January 2020	21	15,263,526	(3,487,399)	11,776,127
Loss for the year		-	(6,016,340)	(6,016,340)
Other comprehensive income		-	-	-
Balance at 31 December 2020	21	**15,263,526**	**(9,503,739)**	**5,759,787**
Income for the year		-	12,732,782	12,732,782
Other comprehensive income		-	-	-
Balance at 31 December 2021	21	**15,263,526**	**3,229,043**	**18,492,569**

The accompanying notes form part of these financial statements.

Statement of Cash Flows
For the Year Ended 31 December 2021

	Note	2021 PGK	2020 PGK
CASH FLOWS FROM OPERATING ACTIVITIES:			
Income/(loss) before tax		**10,957,807**	(6,589,312)
Adjustments for:			
Depreciation of property, plant and equipment and right-of-use assets	17, 18	**4,245,576**	5,658,565
Finance cost (leases)	18	**420,721**	728,532
Gain on disposal of property, plant and equipment	8	**(64,092)**	-
Impairment losses on loans and advances	11	**15,138,759**	17,367,546
Amortization of Esiloan premium	9b	**1,829,517**	1,246,053
Interest income		**(5,112,746)**	-
Other non-cash items included in profit before tax		**60,226**	-
Movement in working capital			
Increase in other assets		**(2,008,841)**	(3,660,417)
Decrease/(increase) in loans and advances to customers		**(3,966,877)**	(3,979,269)
Increase/(decrease) in other liabilities		**888,013**	(3,754,710)
Increase in provisions		**10,704**	8,520
Increase in deposits from customers		**4,215,739**	8,480,122
Net cash provided by operating activities		**26,614,506**	15,505,630
CASH FLOWS FROM INVESTING ACTIVITIES:			
Proceeds on disposal of property, plant and equipment		**83,500**	-
Purchase of property, plant and equipment		**(2,155,878)**	(1,257,513)
Cash received from PNGSDP		**3,751,877**	1,945,528
Payment for EsiLoan acquisition		-	(8,831,275)
Increase in cash due to PML acquisition		-	22,177,565
Purchase of government securities		**(10,301,202)**	(6,588,986)
Net cash (used in) / provided by investing activities		**(8,621,703)**	7,445,319
CASH FLOWS FROM FINANCING ACTIVITIES:			
Payment of lease liabilities	18	**(2,955,394)**	(4,422,853)
Repayment of Kina Bank overdraft facility	20	**(14,328,745)**	(10,671,255)
Net cash used in financing activities		**(17,284,139)**	(15,094,108)
Net increase/(decrease) in cash and cash equivalents held		**708,664**	7,856,841
Cash and cash equivalents at beginning of year		**17,295,611**	9,438,770
Cash and cash equivalents at end of financial year	10	**18,004,275**	17,295,611

The accompanying notes form part of these financial statements.

Notes to the Financial Statements
For the Year Ended 31 December 2021

1 General

Nationwide Microbank Limited (MiBank or the Company) is a Company incorporated in Papua New Guinea. The addresses of its registered office and principal place of business are disclosed in the introduction to the financial report. The principal activity of the Company is to provide financial services to the unbanked people of Papua New Guinea.

The financial statements have been approved for issue by the Board of Directors on 5 April 2022.

(a) Statement of compliance

The financial statements of the Company have been prepared in accordance with the applicable financial reporting standards to the extent that IFRS complies with Bank of PNG prudential standards, other mandatory professional reporting requirements approved for use in Papua New Guinea and the Papua New Guinea Companies Act 1997. IFRS are Standards and Interpretations developed and approved by the International Accounting Standards Board (IASB). The financial statements have been prepared under the historical cost convention.

(b) Basis of accounting

The financial statements have been prepared on the historical cost basis except for certain financial instruments that are measured at fair value at the end of each reporting period as explained in the accounting policies below.

The financial statements are presented in the Papua New Guinea Kina, which is the Company's functional currency.

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Company's accounting policies. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in note 1(c).

Compliance with Prudential Standards

The Company is required to comply with the Prudential Standards issued by the Bank of Papua New Guinea (BPNG), the official authority for the prudential supervision of banks and similar financial institutions in Papua New Guinea. The Company was not in compliance with a number of the Prudential Standards at year end as described below:

The Company was not in compliance with the minimum requirements for Capital Adequacy as outlined in Note 22. The Company had communicated the non-compliance to BPNG and the remediation plans in place to address this matter including, restructure of certain debt facilities, improving the profitability of the Company and adopting a prudent approach to growth of the lending business. The non-compliance with the Capital Adequacy requirements also prevents the Company being in compliance with the Prudential Standard issued by BPNG relating to Single Borrower and Large Exposure Limits.

The Company has been successful in these measures and is able to report that the Company is now in compliance with the Capital Adequacy requirements of BPNG as detailed in Subsequent Events Note 27.

The Company has not maintained the minimum level of Loan Loss Provision as required by BPNG. The level of provisioning held meets the requirements of IFRS 9 as detailed in Note 11. Compliance with the BPNG Prudential Standard - Asset classification, Provisioning and Suspension of interest would result in an additional provision of 112% being recognised at year end. The provisioning approach adopted by the Company is consistent with previous years and has been communicated to BPNG.

1 General (continued)

(c) Critical estimates and judgements

In preparing these financial statements, management has made judgement, estimates and assumptions that affect the application of the Company's accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively.

Judgements

Information about judgements made in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements include the following:

- establishing the criteria for determining whether credit risk on the financial asset has increased significantly since initial recognition, determining the methodology for incorporating forward looking information into the measurement of Expected Credit Loss (ECL) and selection and approval of the model used to measure ECL; and
- the assessment of the business model used for the classification of financial assets and assessment of whether the contractual terms of the financial asset are SPPI on the principal amount outstanding.

Assumptions and estimation uncertainties

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment for the year ended 31 December 2021 include the following:

- impairment of financial instruments – the determination of inputs into the ECL measurement model, including key assumptions used in estimating recoverable cash flows and the incorporation of forward-looking information; and
- recognition and measurement of contingencies - the key assumptions about the likelihood and magnitude of an outflow of resources.

(d) Impact of Covid-19

The Covid-19 pandemic and the measures put in place domestically and globally to control the spread of the virus have had significant impact on global economies and financial markets. As a result, this has increased the uncertainty and judgement required in relation to our critical accounting assumptions and estimates, primarily relating to expected credit losses as there is a higher than usual degree of uncertainty associated with these assumptions and estimates, and the actual economic conditions are likely to be different from those forecasts which may significantly impact accounting estimates included in these financial statements.

(e) Comparative amounts

Where necessary, comparative figures have been adjusted to conform to current disclosure and reclassification of balances. This has not resulted in any adjustment to net assets or retained earnings.

Notes to the Financial Statements
For the Year Ended 31 December 2021

2 Significant accounting policies

The Company has consistently applied the following accounting policies to all periods presented in the financial statements.

(a) Revenue recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

Interest income and expense

Interest income and expense are recognised in the income statement on an effective interest rate ("EIR") basis. The EIR is the rate that, at the inception of the financial asset or liability, exactly discounts expected future cash payments and receipts over the expected life of the instrument back to the initial carrying amount. When calculating the EIR, the Company estimates cashflows considering all contractual terms of the instrument (for example, prepayment options) but does not consider the assets' future credit losses.

At each reporting date, management makes an assessment of the expected remaining life of its financial assets, including any acquired loan portfolios and where there is a change in those assessments, the remaining amount of any unamortised discount or premiums is adjusted so that the interest income continues to be recognised prospectively on the amortised cost of the financial asset at the original EIR. The adjustment is recognised within interest income in the income statement for the current period.

The calculation of the EIR includes all transaction costs and fees, paid or received, that are an integral part of the interest rate together with the discounts or premium arising on the acquisition of loan portfolios. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or liability.

Interest on financial assets and financial liabilities is measured at amortised cost and is calculated on an EIR basis.

Fees and commission income and expense

Fee and commission income includes fees relating to services provided to customers which do not meet the criteria for inclusion within interest income.

Other fee and commission income includes fees charged for mortgage services, arrears and other fees.

Fee income is recognised as the related services are performed.

Investment income

Interest income earned from financial assets that are held for cash management purposes is presented as investment income.

(b) Cash and cash equivalents

'Cash and cash equivalents' include notes and coins on hand, unrestricted balances held with central banks and highly liquid financial assets held with commercial bank with original maturities of three months or less from the date of acquisition that are subject to an insignificant risk of changes in their fair value, and are used by the Company in the management of its short-term commitments.

Notes to the Financial Statements
For the Year Ended 31 December 2021

2 Significant accounting policies (continued)

(b) Cash and cash equivalents (continued)

Cash and cash equivalents are carried at amortised cost in the statement of financial position.

While cash and cash equivalents are also subject to the impairment requirements of IFRS 9, the identified impairment loss was immaterial.

(c) Property, plant and equipment

Property, plant and equipment are measured on the cost basis less accumulated depreciation and impairment losses. Where it meets the definition of an asset, the cost of improvements to leasehold premises is capitalised and amortised over the estimated useful life of the improvement concerned.

Depreciation is calculated on a straight-line basis from the date of acquisition at rates appropriate to the estimated useful lives as follows:

Furniture and fittings	20%
Motor vehicles	20%
Equipment	20%
Leasehold improvements	20%

Gains or losses on disposal (being the difference between the carrying amount at the time of sale and the proceeds of disposal) are taken to income in the year.

(d) Impairment of non-financial assets

Property and equipment are tested for impairment whenever there is any objective evidence or indication that these assets may be impaired.

If the recoverable amount of the asset is estimated to be less than its carrying amount, the carrying amount of the asset is reduced to its recoverable amount. The difference between the carrying amount and recoverable amount is recognised as an impairment loss in profit or loss.

An impairment loss for an asset is reversed if, and only if, there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. The carrying amount of this asset is increased to its revised recoverable amount, provided that this amount does not exceed the carrying amount that would have been determined (net of accumulated depreciation) had no impairment loss been recognised for the asset in prior years. A reversal of impairment loss for an asset is recognised in profit or loss.

(e) Goodwill

Goodwill is measured at cost less impairment losses. Goodwill is calculated as the excess of the cost of acquisition over the fair value of the net identifiable assets.

Goodwill has indefinite expected life and not amortised but is reviewed for impairment at least annually. For the purpose of impairment testing, goodwill is allocated to each of the Company's cash-generating units (or group of cash-generating units) expected to benefit from the synergies of the combination. Cash-generating units to which goodwill has been allocated are tested for impairment annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than the carrying amount of the unit, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro-rata on the basis of the carrying amount of each asset in the unit. An impairment loss recognised for goodwill is not reversed in a subsequent period.

Notes to the Financial Statements
For the Year Ended 31 December 2021

2 Significant accounting policies (continued)

(e) Goodwill (continued)

On disposal of a cash-generating unit, the attributable amount of goodwill is included in the determination of the profit or loss on disposal.

(f) Income tax

Income tax expense on the profit for the year comprises current tax and the movement in deferred tax balance.

Current tax is the expected tax payable on the taxable income for the financial year using tax rates that have been enacted or substantively enacted for PNG at the reporting date, and any adjustment to tax payable in respect of previous years.

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding amounts used for taxation purposes.

Deferred tax assets and liabilities are not recognised if the temporary difference arises from goodwill or other intangible assets with indefinite expected life, the initial recognition of assets and liabilities that affect neither accounting nor taxable profit (other than in a business combination), or differences relating to investments in subsidiaries to the extent that they will probably not reverse in the foreseeable future. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates that have been enacted or substantively enacted for PNG at the reporting date that are expected to apply when the liability is settled or the asset is realised.

Current and deferred taxes attributable to amounts recognised in other comprehensive income are also recognised in other comprehensive income.

Except as noted above, deferred tax liabilities are recognised for all taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that future taxable profits will be available against which the asset can be utilised.

(g) Employee benefits

Employee provisions comprise liabilities for employee benefits arising from services rendered by employees at the reporting date. Employee benefits have maturities of both less than one year and greater than one year and have been measured at the amounts expected to be paid when the liability is settled plus related on-costs.

Superannuation contributions are made by the Company to the defined contribution fund.

(h) Leases

At inception of a contract, the Company assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in, exchange for consideration.

As a lessee

At commencement or on modification of a contract that contains a lease component, the Company allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the leases of property, the Company has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

Notes to the Financial Statements
For the Year Ended 31 December 2021

2 Significant accounting policies (continued)

(h) Leases (continued)

As a lessee (continued)

The Company recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Company by the end of the lease term or the cost of the right-of-use asset reflects that the Company will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property, plant and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. Generally, the Company uses its incremental borrowing rate as the discount rate.

The Company determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes certain adjustments to reflect the terms of the lease and type of the asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Company is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Company is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Company's estimate of the amount expected to be payable under a residual value guarantee, if the Company changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

Short-term leases and leases of low- value assets

The Company has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases, including IT equipment (i.e., below $5,000 or its kina equivalent or within 12 months). The Company recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

At inception or on modification of a contract that contains a lease component, the Company allocates the consideration in the contract to each lease component on the basis of their relative stand-alone prices.

Notes to the Financial Statements
For the Year Ended 31 December 2021

2 Significant accounting policies (continued)

(i) Loans and advances

'Loans and advances' captions in the statement of financial position include:

- loans and advances measured at amortised cost, these are initially measured at fair value plus incremental direct transaction costs, and subsequently at their amortised cost using the effective interest method;
- loans and advances mandatorily measured at FVTPL, or designated as at FVTPL are measured at fair value with changes recognised immediately in profit or loss; and
- lease receivables.

When the Company purchases a financial asset and simultaneously enters into an agreement to resell the asset (or a substantially similar asset) at a fixed price on a future date, the consideration paid is accounted for as a loan or advance, and the underlying asset is not recognised in the Company's financial statements.

(j) Provisions

Provisions are recognised when the Company has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation and the amount can be reliably estimated. Provisions are not recognised for future operating losses. Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions payable later than one year have been measured at the present value by discounting the expected future cash outflows at a pre-tax rate that reflects current market assessment of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as financing costs.

(k) Business combination

The Company accounts for business combinations using the acquisition method when the acquired set of activities and assets meets the definition of a business and control is transferred to the Company.

In determining whether a particular set of activities and assets is a business, the Company assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce outputs. The Company has an option to apply a 'concentration test' that permits a simplified assessment of whether an acquired set of activities and assets is not a business. The optional concentration test is met if substantially all of the fair value of the gross assets acquired is concentrated in a single identifiable asset or Company of similar identifiable assets.

The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognised in profit or loss immediately. Transaction costs are expensed as incurred, except if related to the issue of debt or equity securities.

The consideration transferred does not include amount related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss.

Any contingent consideration is measured at fair value at the date of acquisition. If any obligation to pay contingent consideration that meets the definition of a financial instrument is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, other contingent consideration is remeasured at fair value at each reporting date and subsequent changes in the value of the contingent consideration are recognised in profit or loss.

2 Significant accounting policies (continued)

(l) Financial assets and financial liabilities

(i) Recognition and initial measurement

The Company initially recognises loans and advances, deposits, debt securities issued and subordinated liabilities on the date on which they are originated. All other financial instruments (including regular way purchases and sales of financial assets) are recognised on the trade date, which is the date on which the Company becomes a party to the contractual provisions of the instrument.

(ii) Classification

On initial recognition, a financial asset is classified as measured at amortised cost, fair value through other comprehensive income (FVOCI) or fair value through profit or loss (FVTPL).

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is to hold to collect; and
- the contractual terms of the financial asset give rise on specific dates to cash flows that are solely for the purpose of principal and interest (SPPI).

A debt instrument is measured at FVOCI only if it meets both of the following conditions and is not designated as at FVTPL

- the asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are SPPI.

On initial recognition of an equity investment that is not held-for-trading, the Company may irrevocably elect to present subsequent changes in fair value in OCI. This election is made on an investment-by-investment basis.

All other financial assets are classified as measured at FVTPL.

In addition, on initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Business model assessment

The Company makes an assessment of the objective of a business model in which an asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realising cash flows through the sale of assets;
- how the performance of the portfolio is evaluated and reported to the Company's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and its strategy for how those risks are managed;

2 Significant accounting policies (continued)

(I) Financial assets and financial liabilities (continued)

(ii) Classification (continued)

- how managers of the business are compensated (e.g. whether compensation is based on the fair value of the assets managed or contractual cash flows collected; and
- the frequency, volume and timing of sales in prior period, the reasons for such sales and its expectation about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Company's stated objective for managing the financial assets is achieved and how cash flows are realised.

The Company's retail and corporate banking business comprises primarily loans to customers that are held for collecting contractual cash flows. Sales of loans from these portfolios are very rare.

Financial assets that are held-for-trading or managed and whose performance is evaluated on a fair value basis are measured at FVTPL because they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

Assessment of whether contractual cash flows are solely payments of principal and interest

For the purpose of this assessment, 'principal' is defined as the fair value of the financial assets on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as profit margin.

In assessing whether the contractual cash flows are SPPI, the Company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Company considers:

- contingent events that would change the amount and timing of cash flows;
- leverage features;
- prepayment and extension terms;
- terms that limit the Company's claim to cash flows from specified assets (e.g. non-recourse loans); and
- features that modify consideration of the time value of money (e.g. periodical reset of interest rates).

The Company holds a portfolio of long-term fixed-rate loans for which the Company has the option to propose to revise the interest rate at periodic reset dates. These reset results are limited to the market rate as the time of revision. The borrowers have an option to either accept the revised rate or redeem the loan at par without penalty. The Company has determined that the contractual cash flows of these loans are SPPI because the option varies the interest rate in a way that is consideration for the time value of money, credit risk, other basic lending risks and costs associated with the principal amount outstanding.

(iii) Derecognition

Financial assets

The Company derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Company neither transfers nor retains substantially all of the risks and rewards of ownership and it does retain control of the financial asset.

2 Significant accounting policies (continued)

(l) Financial assets and financial liabilities (continued)

(iii) Derecognition (continued)

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset derecognised) and the sum of (i) the consideration received (including any new asset obtained less any new liability assumed) and (ii) any cumulative gain or loss that had been recognised in OCI is recognised in profit or loss.

Any cumulative gain / loss recognised in OCI in respect of equity investment securities designated as at FVOCI is not recognised in profit or loss on derecognition of such securities. Any interest in transferred financial assets that qualify for derecognition that is created or retained by the Company is recognised as a separate asset or liability.

Financial liabilities

The Company derecognises a financial liability when the contractual obligations are discharged or cancelled, or expire.

(iv) Modifications of financial assets and financial liabilities

Financial assets

If the terms of a financial asset are modified, then the Company evaluates whether the cash flows of the modified asset are substantially different.

If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In the case, the original financial asset is derecognised and a new financial asset is recognised at fair value plus any eligible transaction costs. Any fees received as part of the modification are accounted for as follows:

- fees that are considered in determining the fair value of the new asset and fees that represent reimbursement of eligible transaction costs are included in the initial measurement of the asset; and
- other fees are included in profit or loss as part of the gain or loss on derecognition.

If cash flows are modified when the borrower is in financial difficulties, then the objective of the modification is usually to maximise recovery of the original contractual terms rather than to originate a new asset with substantially different terms. If the Company plans to modify a financial asset in a way that would result in forgiveness of cash flows, then it first considers whether a portion of the asset should be written off before the modification takes place. This approach impacts the result of the quantitative evaluation and mean that the derecognition criteria are not usually met in such cases.

If the modification of a financial asset measured at amortised cost or FVOCI does not result in derecognition of the financial asset, then the Company first recalculates the gross carrying amount of the financial asset using the original effective interest rate of the asset and recognises the resulting adjustment as a modification gain or loss in profit or loss. For floating-rate financial assets, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any costs or fees incurred and modification fees received adjust the gross carrying amount of the modified financial asset and are amortised over the remaining term of the modified financial asset.

2 Significant accounting policies (continued)

(l) Financial assets and financial liabilities (continued)

(iv) Modifications of financial assets and financial liabilities (continued)

Financial liabilities

The Company derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability derecognised and the consideration paid is recognised in profit or loss. Consideration paid includes non-financial assets transferred, if any, and the assumption of liabilities, including the new modified financial liability.

If the modification of a financial liability is not accounted for as derecognition, then the amortised cost of the liability is recalculated by discounting the modified cash flows at the original effective interest rate and the resulting gain or loss is recognised in profit or loss. For floating rate financial liabilities, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any costs and fees incurred are recognised as an adjustment to the carrying amount of the liability and amortised over the remaining terms of the modified financial liability by re computing the effective interest rate on the instrument.

(v) Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Company currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

(vi) Fair value measurement

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date or, in its absence, the most advantageous market to which the Company has access at that date. The fair value of a liability reflects its non performance risk.

When one is available, the Company measures the fair value of the instrument using the quoted price in an active market for that instrument. A market is regarded as 'active' if transactions for the asset or liability takes place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Company uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The best evidence of the fair value of a financial instrument or initial recognition is normally the transaction price- i.e. the fair value of the consideration given or received. If the Company determines that the fair value on initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique for which any unobservable inputs are judged to be insignificant in relation to the difference, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value on initial recognition and the transaction price. Subsequently, that difference is recognised in profit or loss on an appropriate basis over the life of the instrument but not later than when the valuation is wholly supported by observable market data or the transaction is closed out.

Notes to the Financial Statements
For the Year Ended 31 December 2021

2 Significant accounting policies (continued)

(l) Financial assets and financial liabilities (continued)

(vi) Fair value measurement (continued)

The fair value of a financial liability with a demand feature (e.g. a demand deposit) is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid.

The Company recognises transfers between levels of the value hierarchy as of the end of the reporting period during which the change has occurred.

(vii) Impairment

The Company recognises the loss allowances for ECL on the following financial instruments that are not measured at FVTPL:

- financial assets that are debt instruments;
- lease receivables;
- financial guarantee contracts issued;
- loan commitment issued; and
- no impairment loss is recognised on equity investments.

The Company measures loss allowances at an equal to lifetime ECL, except for the following, for which they are measured as 12-months ECL:

- debt investment securities that are determined to have low credit risk at the reporting date; and
- other financial instruments (other than lease receivables) on which credit risk has not increased significantly since their initial recognition.

Loss allowances for lease receivables are always measured at an amount equal to lifetime ECL.

The Company considers a debt investment security to have low credit risk when its credit risk rating is equivalent to the globally understood definition of 'investment grade'. The Company does not apply the low credit risk exemption to any other financial instruments.

12-month ECL is a portion of lifetime ECL that result from default events on a financial instrument that are possible within the 12-months after the reporting date. Financial instruments for which 12-month ECL are recognised are referred to as 'Stage 1 financial instruments'. Financial instruments allocated to Stage 1 have not undergone a significant increase in credit risk since initial recognition and are not credit-impaired.

Lifetime ECL are the ECL that result from all possible default events over the expected life of the financial instrument or the maximum contractual period of exposure. Financial instruments for which a lifetime ECL are recognised and are not credit impaired are referred to as 'Stage 2 financial instruments'. Financial instruments allocated to Stage 2 are those that have experienced a significant increase in credit risk since initial recognition but are not credit impaired.

Financial instruments for which lifetime ECL are recognised and that are credit-impaired are referred to as 'Stage 3 financial instruments'.

2 Significant accounting policies (continued)

(vii) Impairment (continued)

Measurement of ECL

ECL are a probability-weighted-estimate of credit losses. They are measured as follows:

- financial assets that are not credit-impaired at the reporting date: as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Company expects to receive);
- financial assets that are credit-impaired at the reporting date: as the difference between the gross carrying amount and the present value of estimated future cash flows;
- undrawn loan commitments: as the present value of the difference between the contractual cash flows that are due to the Company if the commitment is drawn down and the cash flows that the Company expects to receive; and
- financial guarantee contracts: the expected payments to reimburse the holder less any amounts that the Company expects to recover.

When discounting future cash flows, the original effective interest rate or an approximation thereof is used.

Credit-impaired financial assets

At each reporting date, the Company assesses whether financial assets carried at amortised cost, debt financial assets carried at FVOCI and finance lease receivables are credit impaired (referred to as 'Stage 3 financial asset'). A financial asset is 'credit impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or past-due event;
- the restructuring of a loan or advance by the Company on terms that the Company would not consider otherwise;
- it is becoming probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

A loan that has been renegotiated due to deterioration in the borrower's condition is usually considered to be credit-impaired unless there is evidence that the risk of not receiving contractual cash flows has reduced significantly and there are no other indicators of impairment. In addition, a retail loan that is overdue for 90 days or more is considered credit-impaired even when the regulatory definition of default is different.

Credit-impaired financial assets (continued)

In making an assessment of whether an investment in sovereign debt is credit-impaired, the Company considers the following factors.

- the market's assessment of creditworthiness as reflected in bond yields;
- the rating agencies' assessment of creditworthiness;
- the country's ability to access the capital markets for new debt issuance; and
- the probability of debt being restructured, resulting in holders suffering losses through voluntary or mandatory debt forgiveness.

2 Significant accounting policies (continued)

(vii) Impairment (continued)

Write-off

Loans and debt securities are written off (either partially or in full) when there is no reasonable expectation of recovering a financial asset in its entirety or a portion thereof. This is generally the case when the Company determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. This assessment is carried out at the individual asset level.

Recoveries of amounts previously written off are recognised when cash is received and are included in impairment losses on 'financial instruments' in the statement of profit or loss and OCI.

Financial assets that are written off could still be subject to enforcement activities in order to comply with the Company's procedures for recovery of amounts due.

Loan Loss Provisioning

The Company is required to comply with prudential standard 2/2003 – 'Asset Classification, Provisioning and Suspension of Interest' as issued by the Bank of Papua New Guinea (BPNG), the official authority for the prudential supervision of banks and similar financial institutions in Papua New Guinea. BPNG indicates a minimum level of loan loss provisioning based on customer arrears.

The Company maintains a level of loan loss provision that meets the requirements of IFRS 9 Financial Instruments. There would be an additional provision of 112% recognised at year end in order to comply with BPNG prudential standards. The additional provision required largely relates to specific provisions for substandard, doubtful and loss graded loans.

The provisioning approach adopted by the Company is consistent with previous years and has been communicated to BPNG.

(viii) Designation at fair value through profit or loss

Financial assets

On initial recognition, the Company has designated certain financial assets as at FVTPL because this designation eliminates or significantly reduces an accounting mismatch, that would otherwise arise.

Financial liabilities

The Company has designated certain financial liabilities as at FVTPL, in either of the following circumstances:

- the liabilities are managed, evaluated and reported internally on a fair value basis; or
- the designation eliminates or significantly reduces an accounting mismatch that would otherwise arise.

2 Significant accounting policies (continued)

(viii) Designation at fair value through profit or loss (continued)

Other financial liabilities

Other financial liabilities, including deposits and borrowings, are initially measured at fair value. Other financial liabilities are subsequently measured at amortised cost using the effective interest method.

The effective interest method is a method of calculating the amortized cost of a financial liability and of allocating interest expense over the relevant period. The EIR is the rate that exactly discounts estimated future cash payments through the expected life of a financial liability, or where appropriate, a shorter period, to the carrying amount on initial recognition.

3 Changes in accounting policies and disclosures

(a) New and amended IFRS Standards that are effective for the current year

The Company applied for the first-time certain standards and amendments, which are effective for annual periods beginning on or after 1 January 2021:

Interest Rate Benchmark Reform – Phase 2: Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16

The amendments provide temporary reliefs which address the financial reporting effects when an interbank offered rate (IBOR) is replaced with an alternative nearly risk-free interest rate (RFR). The amendments include the following practical expedients:

- A practical expedient to require contractual changes, or changes to cash flows that are directly required by the reform, to be treated as changes to a floating interest rate, equivalent to a movement in a market rate of interest
- Permit changes required by IBOR reform to be made to hedge designations and hedge documentation without the hedging relationship being discontinued
- Provide temporary relief to entities from having to meet the separately identifiable requirement when an RFR instrument is designated as a hedge of a risk component

These amendments had no impact on the financial statements of the Company. The Company intends to use the practical expedients in future periods if they become applicable.

Covid-19-Related Rent Concessions beyond 30 June 2021 Amendments to IFRS 16

On 28 May 2020, the IASB issued Covid-19-Related Rent Concessions - amendment to IFRS 16 Leases. The amendments provide relief to lessees from applying IFRS 16 guidance on lease modification accounting for rent concessions arising as a direct consequence of the Covid-19 pandemic. As a practical expedient, a lessee may elect not to assess whether a Covid-19 related rent concession from a lessor is a lease modification. A lessee that makes this election accounts for any change in lease payments resulting from the Covid-19 related rent concession the same way it would account for the change under IFRS 16, if the change were not a lease modification.

The amendment was intended to apply until 30 June 2021, but as the impact of the Covid-19 pandemic is continuing, on 31 March 2021, the IASB extended the period of application of the practical expedient to 30 June 2022.The amendment applies to annual reporting periods beginning on or after 1 April 2021 with earlier application permitted. The amendment is to be applied mandatorily by those entities that have elected to apply the previous amendment Covid-19-Related Rent Concessions. Accordingly, the Company has applied the amendment Covid-19-Related Rent Concessions beyond 30 June 2021 in the current annual financial statements. However, the Company has not received Covid-19-related rent concessions, but plans to apply the practical expedient if it becomes applicable within allowed period of application.

Notes to the Financial Statements
For the Year Ended 31 December 2021

3 Changes in accounting policies and disclosures (continued)

(b) New and amended IFRS Standards that are in issue but not yet effective

There are a number of standards, amendments to standards, and interpretations which have been issued by the IASB that are effective in future accounting periods that the Company has decided not to adopt early.

IFRS 17 (including the June 2020 amendments to IFRS 17)	*Insurance Contracts*
Amendments to IFRS 10 and IAS 28	*Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*
Amendments to IAS 1	*Classification of Liabilities as Current or Non-current*
Amendments to IFRS 3	*Reference to the Conceptual Framework*
Amendments to IAS 16	*Property, Plant and Equipment—Proceeds before Intended Use*
Amendments to IAS 37	*Onerous Contracts—Cost of Fulfilling a Contract*
Annual Improvements to IFRS Standards 2018-2020 Cycle	*Amendments to IFRS 1 First-time Adoption of International Financial Reporting Standards, IFRS 9 Financial Instruments, IFRS 16 Leases, and IAS 41 Agriculture*
Amendments to IAS 1 and IFRS Practice Statement 2	*Disclosure of Accounting Policies*
Amendments to IAS 8	*Definition of Accounting Estimates*
Amendments to IAS 12	*Deferred Tax related to Assets and Liabilities arising from a Single Transaction*

The Company does not expect any other standards issued by the IASB, but not yet effective, to have a material impact on the financial statements of the Company.

Notes to the Financial Statements
For the Year Ended 31 December 2021

4 Interest income

	2021 PGK	2020 PGK
Interest income from loans and advances to customers	**46,809,176**	**30,856,275**

5 Interest expenses and other related charges

Interest paid on deposits from customers	**1,985,331**	1,545,659
Interest expense on borrowing	**315,088**	157,803
Account opening fees	**578,785**	248,730
	2,879,204	1,952,192

6 Fees and commission income

In the following table, fee and commission income from contracts with customers in the scope of IFRS 15 is disaggregated by major type of services.

Account services	**5,417,193**	3,847,796
Penalty	**1,522,782**	1,417,452
Transactional	**1,473,611**	1,120,709
	8,413,586	6,385,957

7 Investment income

Interest income on investments	**1,328,567**	1,045,189

8 Other operating income

Gain from the sale of assets	**64,092**	141,150
Grants and donations received	**76,881**	501,511
Cheques dishonoured charges	**12,880**	6,050
Other income	**-**	1,404,411
	153,853	2,053,122

Notes to the Financial Statements
For the Year Ended 31 December 2021

9 Expenses

Expenses are arrived at after charging and crediting the following:

(a) Personnel expenses

	2021 PGK	2020 PGK
Salaries and wages	**10,782,205**	9,289,289
Directors' fees	**423,478**	395,262
Staff training	**263,522**	162,319
Travel and accommodation	**306,230**	466,793
Other	**58,734**	57,987
	11,834,169	10,371,650

(b) Operating expenses

Telephone and internet	**1,922,798**	1,373,129
Amortisation of Esiloan premium	**1,829,517**	1,246,053
Professional fees	**1,118,177**	1,325,671
Security costs	**1,110,879**	1,052,314
Office expenses	**1,109,649**	1,159,844
Repairs and maintenance	**800,307**	706,106
Occupancy costs	**693,163**	226,800
Fees and registration	**560,133**	1,738,278
Insurance	**491,217**	523,787
Advertising and promotions	**303,669**	418,006
Audit fees	**210,000**	129,000
Subscriptions	**58,499**	63,622
Other expenses	**1,020,938**	888,760
	11,228,946	10,851,370

On 31 July 2020, the Company acquired Esiloan portfolio of Kina Bank. On the date of acquisition, the recognised value of the Esiloan portfolio was K33.8 million, which is the total net book value of the loan portfolio transferred of K30.8 million, plus negotiated over the book value of K3.08 million which was amortised over the average remaining life of the Esiloan portfolio.

10 Cash and Cash Equivalents

Cash at bank	**17,049,182**	16,395,097
Cash on hand	**955,093**	900,514
	18,004,275	17,295,611

Notes to the Financial Statements
For the Year Ended 31 December 2021

11 Loans and advances to customers

	2021 PGK	2020 PGK
Loans to customers	**87,896,376**	94,959,904
Less: Allowances for impairment losses	**(12,978,301)**	(12,418,983)
Total loans to customers	**74,918,075**	82,540,921

The lifetime expected loss provision for loan and advances to customers is as follows:

31 December 2021	Current PGK	More than 30 days PGK	More than 60 days PGK	More than 90 days PGK	Total PGK
Expected loss rate	**0.48%**	**0.53%**	**3.01%**	**38.62%**	
Gross carrying amount	**52,160,885**	**1,776,167**	**1,111,466**	**32,847,858**	**87,896,376**
Loss provision	**250,777**	**9,425**	**33,415**	**12,684,684**	**12,978,301**

31 December 2020	Current PGK	More than 30 days PGK	More than 60 days PGK	More than 90 days PGK	Total PGK
Expected loss rate	1.66%	7.48%	7.99%	33.30%	
Gross carrying amount	57,161,345	2,061,940	2,307,049	33,429,570	**94,959,904**
Loss provision	948,858	154,148	184,432	11,131,545	**12,418,983**

Impairment allowance for loans and advance to customers

A reconciliation of the provision for impairment losses for loans and advances is as follows:

Balance at the beginning of the year	**12,418,983**	2,775,178
Provisions for losses on loans	**15,138,759**	17,367,546
Amounts written off	**(14,579,441)**	(7,723,741)
	12,978,301	12,418,983

Notes to the Financial Statements
For the Year Ended 31 December 2021

12 Other assets

	2021 PGK	2020 PGK
Prepayments	**328,951**	544,957
Rental deposits	**449,353**	607,006
Interest withholding tax	**273,594**	273,594
Interest receivable	**343,025**	3,426,838
Staff advances	**18,552**	19,388
Digicel Cellmoni Wallet	**775,526**	340,938
Reimbursement cost	**3,968,669**	3,164,411
Sundry debtors	**697,299**	486,678
	6,854,969	8,863,810

The reimbursement cost of K3.97 million (2020: K3.16 million) represents payment from PNGSDP as per the Share Transfer Deed dated on 31 January 2020.

13 Income Tax Expense / (Benefit)

Current tax	-	-
Deferred tax	**(73,794)**	(572,972)
Prior year deferred tax adjustment	**(1,701,181)**	-
	(1,774,975)	(572,972)
Income/(loss) before tax	**10,957,807**	(6,589,312)
Income tax expense/(benefit) calculated at 30% (2020: 30%)	**3,287,342**	(1,976,792)
Permanent difference	**46,231**	93,496
Utilisation of previously unrecognized tax losses	**(3,407,372)**	-
Prior year deferred tax adjustment	**(1,701,176)**	-
Other	-	1,310,324
	(1,774,975)	(572,972)

A deferred tax asset of K2.89 million (2020: K6.30 million) in respect of tax losses has not been recognised as it is not yet probable that future taxable profits will be available against which these DTA's can be utilised.

Deferred tax assets		
Opening balance	**4,328,745**	1,726,699
Prior year deferred tax adjustment	**1,701,181**	-
Net movement for the year	**73,794**	2,602,046
	6,103,720	4,328,745

Notes to the Financial Statements
For the Year Ended 31 December 2021

13 Income Tax Expense / (Benefit) (continued)

This balance comprises the tax effect of:	2021 PGK	2020 PGK
Tax losses	**3,730,255**	3,730,255
Provision for impairment losses	**1,424,111**	1,388,301
Employee benefit provisions	**306,956**	303,745
Other provisions / accruals	**63,000**	-
Fixed assets	**542,848**	562,132
Lease liability	**2,113,906**	2,700,444
Arising from business combination	**(25,396)**	(1,701,181)
Prepayments	**(67,264)**	(113,508)
Right-of-use assets	**(1,984,696)**	(2,541,443)
	6,103,720	4,328,745

14 Other liabilities

Withholding tax payable	**564,409**	619,372
Accrued interest	**617,351**	842,339
Accrued expenses	**937,078**	546,276
Sundry payables	**1,968,059**	1,425,385
Funds guaranteed on behalf of others	**1,561,683**	1,327,195
	5,648,580	4,760,567

There is no interest charged on payables. The Bank has financial risk management policies in place to ensure that all payables are paid within pre-agreed credit terms.

Funds guaranteed on behalf of others represent funds held as collateral for loans disbursed under arrangements with various statutory bodies and district councils.

15 Deposits from customers

Term deposits current	**42,442,096**	40,434,235
Demand deposits	**75,779,084**	73,571,206
	118,221,180	114,005,441

16 Provisions

Provision for annual leave	**92,177**	38,343
Provision for long service leave	**931,010**	974,140
	1,023,187	1,012,483

Notes to the Financial Statements
For the Year Ended 31 December 2021

17 Property, plant and equipment

	Leasehold Improvements PGK	Furniture, Fixtures and Fittings PGK	Motor Vehicles PGK	Equipments PGK	Capital Work in Progress PGK	Total PGK
Cost						
At 1 January 2020	3,922,513	575,779	2,497,432	6,943,693	197,399	**14,136,816**
Transfers	938,337	75,914	76,342	71,656	-	**1,162,249**
Additions	588,856	8,184	358,799	189,746	224,986	**1,370,571**
Disposals	-	-	(456,518)	-	-	**(456,518)**
Reclassification	(1,612,364)	52,236	883,378	(525,093)	767	**(1,201,076)**
At 1 January 2021	3,837,342	712,113	3,359,433	6,680,002	423,152	**15,012,042**
Transfers	423,152	-	-	-	(423,152)	-
Additions	911,361	32,753	752,860	354,927	103,977	**2,155,878**
Disposals	-	-	(822,033)	-	-	**(822,033)**
At 31 December 2021	**5,171,855**	**744,866**	**3,290,260**	**7,034,929**	**103,977**	**16,345,887**
Accumulated depreciation						
At 1 January 2020	(2,855,427)	(421,232)	(1,386,119)	(5,123,917)	-	**(9,786,695)**
Depreciation for the year	(542,967)	(74,857)	(383,553)	(773,408)	-	**(1,774,785)**
Disposals	-	-	342,720	-	-	**342,720**
Reclassification	1,590,555	(153,937)	(811,276)	518,670	-	**1,144,012**
At 1 January 2021	(1,807,839)	(650,026)	(2,238,228)	(5,378,655)	-	**(10,074,748)**
Depreciation for the year	(641,073)	(40,753)	(453,285)	(595,292)	-	**(1,730,403)**
Disposals	-	-	802,624	-	-	**802,624**
At 31 December 2021	**(2,448,912)**	**(690,779)**	**(1,888,889)**	**(5,973,947)**	-	**(11,002,527)**
Carrying value at 31 December 2020	2,029,503	62,087	1,121,205	1,301,347	423,152	4,937,294
Carrying value at 31 December 2021	**2,722,943**	**54,087**	**1,401,371**	**1,060,982**	**103,977**	**5,343,360**

Notes to the Financial Statements
For the Year Ended 31 December 2021

18 Leases

(a) Leases as lessee

The Company leases investment property. The leases typically run for a period of 5 years, with an option to renew the lease after that date. Lease payments are renegotiated every 5 years to reflect market rentals. Some leases provide for additional rent payments that are based on changes in local price indices. For certain leases, the Company is restricted from entering into any sub-lease arrangements.

Information about leases for which the Company is a lessee is presented below:

(i) Right-of-use assets

	2021 PGK	2020 PGK
Balance at 1 January	**8,471,478**	12,385,100
Additions	**768,605**	1,040,966
Depreciation charge for the year	**(2,515,173)**	(3,883,780)
Effect of modification/termination	**(109,257)**	(4,739,274)
Acquisition through business combination	**-**	3,668,466
Balance at 31 December	**6,615,653**	8,471,478

(ii) Lease liabilities

Balance at 1 January	**9,001,483**	12,625,804
Additions	**768,605**	1,040,966
Accretion of interest	**420,721**	728,532
Effect of modification/termination	**(189,065)**	(4,082,418)
Finance cost paid	**(420,721)**	(728,532)
Repayment	**(2,534,673)**	(4,422,853)
Acquisition through business combination	**-**	3,839,984
Balance at 31 December	**7,046,350**	9,001,483

The future lease payments are as follows:

	Within 1 year	1-2 years	After 2 years	Total
31 December 2021				
Lease payments	**2,461,469**	**3,295,990**	**1,995,014**	**7,752,473**
Finance charges	**(299,350)**	**(306,549)**	**(100,224)**	**(706,123)**
	2,162,119	**2,989,441**	**1,894,790**	**7,046,350**
31 December 2020				
Lease payments	2,891,680	4,125,074	3,331,356	10,348,110
Finance charges	(454,444)	(594,985)	(297,198)	(1,346,627)
	2,437,236	3,530,089	3,034,158	9,001,483

Notes to the Financial Statements
For the Year Ended 31 December 2021

18 Leases (continued)

(a) Leases as lessee (continued)

(iii) Amount recognised in profit or loss

	2021 PGK	2020 PGK
Depreciation expense of right-of-use assets	**2,515,173**	3,883,780
Interest on lease liabilities	**420,721**	728,532
Expense relating to short-term leases (included in operating expenses)	**625,413**	226,800
Expense relating to short-term leases (included in personnel expenses expenses)	**1,590,451**	714,144
Total amount recognised in profit or loss	**5,151,758**	5,553,256

(iv) Amounts recognised in statement of cash flows

Total cash outflow for leases	**2,955,394**	4,422,853

(v) Extension options

Some leases of office premises contain extension exercisable by the Company up to one year before the end of the non-cancellable contract period. Where practicable, the Company seeks to include extension options in new leases to provide operational flexibility. The extension options held are exercisable only by the Company and not by the lessors. The Company assesses at lease commencement date whether it is reasonably certain to exercise the options if there is a significant event or significant changes in circumstances within its control.

19 Goodwill

Balance at 1 January	**1,616,973**	-
Acquisitions	**-**	1,616,973
	1,616,973	1,616,973

On 31 January 2020, the Company acquired PNG Microfinance Limited (PML) which resulted to a positive goodwill of K1,616,973. This goodwill is not considered impaired as at 31 December 2021 (2020: Knil).

20 Borrowings

Borrowings	**3,915,347**	18,104,057

In 2021, the Company repaid the entire credit facility from Kina Bank of K14,328,745. As at 31 December 2021, the carrying amount of the credit facility is Knil (2020: K14,328,745).

PNGSDP agreed to convert K4m of its term deposits held with PML to a subordinated debt due from MiBank. The subordinated loan has a term of 60 months (original term was 30 months) from the Share Transfer Deed dated on 31 January 2020, with 1.25% interest annually. The carrying amount of the subordinated debt as at 31 December 2021 amounted to K3,915,347 (2020: K3,775,312).

Notes to the Financial Statements
For the Year Ended 31 December 2021

21 Share capital

	2021 PGK	2020 PGK
Shares issued on 1 January	**15,263,526**	15,263,526
Net movement in share capital	**-**	-
	15,263,526	15,263,526

Issued capital of K15,263,526 (2020: K15,263,526) comprises of 12,688,506 fully paid ordinary shares at K1.00 per share and 2,239,148 fully paid ordinary shares at K1.15 per share.

22 Capital adequacy

The Company is required to comply with prudential standard 1/2003 - Capital Adequacy issued by the Bank of Papua New Guinea (BPNG), the official authority for the prudential supervision of banks and similar financial institutions in Papua New Guinea. The BPNG follows the prudential guidelines set by the Bank of International Settlements under the terms of the Basel Accord. The prudential standard 1/2003 - Capital Adequacy is intended to ensure that each bank maintains a level of capital which (i) is adequate to protect the interests of depositors and creditors, (ii) is commensurate with the risk profile and activities of the bank, and (iii) promotes public confidence in the Bank and the overall banking system.

Prudential standard 1/2003 - Capital Adequacy, prescribes ranges of overall capital ratios to measure whether a bank is under, adequately, or well capitalised, and also applies the leverage capital ratio. The minimum capital adequacy requirements as prescribed under the standard are (i) tier 1 risk-based capital ratio 8%, (ii) total risk-based capital ratio of 12% and a leverage capital ratio of 6%.

The Company's capital adequacy as at the reporting date is as follows:

	2021 PGK	2020 PGK
Core capital (K'000)	**(1,961)**	5,830
Supplementary capital (K'000)	**(1,961)**	(6,016)
Risk weighted assets (K'000)	**97,142**	107,630
Tier 1 capital adequacy ratio	**-2.02%**	5.4%
Total capital adequacy ratio	**-4.04%**	-0.2%

In 2020 the Company acquired PNG Microfinance Limited (PML) and subsequently amalgamated the businesses. PML was a net liability company and it was recognized that the proposed amalgamation would have an adverse effect on Capital Adequacy. The Company discussed Capital Adequacy concessions with the regulator in order to acquire the business, and the company forecast strong underlying cash flows that would lead to arresting the situation. Approval to acquire the business of PML was received from the regulator and following a strong performance in 2021, in the beginning of 2022 the Company had already met the required minimum ratio prescribed by BPNG, in accordance with prudential standard 1/2003. Refer to Note 27 for further details.

23 Financial risk management

The Company's Board of Directors has overall responsibility for the establishment and oversight of the Company's risk management framework. The Board of Directors has established the risk management committee, which is responsible for developing and monitoring the Company's risk management policies. The committee reports regularly to the Board of Directors on its activities.

Notes to the Financial Statements
For the Year Ended 31 December 2021

23 Financial risk management (continued)

The Company's risk management policies are established to identify and analyse the risks faced by the Company, to set appropriate risk limits and controls and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Company's activities. The Company, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations.

(a) Credit risk

(i) Credit quality analysis

The following table set out information about the overdue status of loans and advances to customers in stages.

Loans and advances to customers at amortised cost-gross carrying amount.

	2021			
	Stage 1 PGK	**Stage 2 PGK**	**Stage 3 PGK**	**Total PGK**
Current	**48,233,441**	**145,504**	**-**	**48,378,945**
Overdue < 30 days	**3,781,939**	**-**	**-**	**3,781,939**
Overdue > 30 days	**5,112,746**	**2,887,633**	**27,735,113**	**35,735,492**
	57,128,126	**3,033,137**	**27,735,113**	**87,896,376**

	2020			
Current	52,122,522	699,343	-	52,821,865
Overdue < 30 days	3,793,886	4,138	-	3,798,024
Overdue > 30 days	-	4,368,989	33,971,026	38,340,015
	55,916,408	5,072,470	33,971,026	94,959,904

Breakdown of exposure at default and impairment provision in stages is set out in the table below:

EAD - Loans and receivables from customers	**Stage 1 PGK**	**Stage 2 PGK**	**Stage 3 PGK**	**Total PGK**
At 1 January 2020	23,713,421	4,713,494	20,403,490	**48,830,405**
Transfers:				
Transfer from Stage 1 to Stage 2	(1,279,834)	1,279,834	-	-
Transfer from Stage 1 to Stage 3	(2,865,158)	-	2,865,158	-
Transfer from Stage 2 to Stage 3	-	(1,858,261)	1,858,261	-
Transfer from Stage 2 to Stage 1	1,121,183	(1,121,183)	-	
Transfer from Stage 3 to Stage 2	-	342,015	(342,015)	-
Transfer from Stage 3 to Stage 1	918,322	-	(918,322)	-
New financial assets originated or purchased	34,308,473	1,716,572	10,104,454	**46,129,499**
Total movement in EAD during 2020	32,202,986	358,977	13,567,536	**46,129,499**
At 31 December 2020	**55,916,407**	**5,072,471**	**33,971,026**	**94,959,904**

Notes to the Financial Statements
For the Year Ended 31 December 2021

23 Financial risk management (continued)

(a) Credit risk (continued)

(i) Credit quality analysis (continued)

ECL - Loans and receivables from customers	Stage 1 PGK	Stage 2 PGK	Stage 3 PGK	Total PGK
At 1 January 2020	66,752	26,139	2,682,287	2,775,178
Transfers:				
Transfer from Stage 1 to Stage 2	(3,012)	3,012	-	-
Transfer from Stage 1 to Stage 3	(6,565)	-	6,565	-
Transfer from Stage 2 to Stage 3	-	(5,766)	5,766	-
Transfer from Stage 2 to Stage 3	5,539	(5,539)	-	-
Transfer from Stage 3 to Stage 2	-	41,920	(41,920)	-
Transfer from Stage 3 to Stage 1	116,431	-	(116,431)	-
Movements due to risk parameter and other changes	(96,163)	34,749	8,590,500	**8,529,086**
New financial assets originated or purchased, net of repayment	878,600	279,746	887,907	**2,046,253**
Financial assets settled during the year	(32,649)	(2,005)	(84,290)	**(118,944)**
Write-offs	(2,041)	(11,710)	(798,839)	**(812,590)**
At 31 December 2020	**926,892**	**360,546**	**11,131,545**	**12,418,983**

EAD - Loans and receivables from customers				
At 1 January 2021	**55,916,407**	**5,072,471**	**33,971,026**	**94,959,904**
Transfers:				
Transfer from Stage 1 to Stage 2	**(2,022,562)**	**2,022,562**	**-**	**-**
Transfer from Stage 1 to Stage 3	**(4,434,112)**	**-**	**4,434,112**	**-**
Transfer from Stage 2 to Stage 3	**-**	**(1,397,563)**	**1,397,563**	**-**
Transfer from Stage 2 to Stage 1	**1,229,878**	**(1,229,878)**	**-**	**-**
Transfer from Stage 3 to Stage 2	**-**	**316,998**	**(316,998)**	**-**
Transfer from Stage 3 to Stage 1	**800,825**	**-**	**(800,825)**	**-**
New financial assets originated or purchased	**5,637,690**	**(1,751,452)**	**(10,949,766)**	**(7,063,528)**
Total movement in EAD during 2021	**1,211,719**	**(2,039,333)**	**(6,235,914)**	**(7,063,528)**
At 31 December 2021	**57,128,126**	**3,033,138**	**27,735,112**	**87,896,376**

Notes to the Financial Statements
For the Year Ended 31 December 2021

23 Financial risk management (continued)

(a) Credit risk (continued)

(i) Credit quality analysis (continued)

ECL - Loans and receivables from customers	Stage 1 PGK	Stage 2 PGK	Stage 3 PGK	Total PGK
As at 1 January 2021	926,892	360,546	11,131,545	12,418,983
Movements with P&L impact during the year:				
Transfers:				
Transfer from Stage 1 to Stage 2	(22,324)	22,324	-	-
Transfer from Stage 1 to Stage 3	(61,388)	-	61,388	-
Transfer from Stage 2 to Stage 3	-	(5,766)	5,766	-
Transfer from Stage 2 to Stage 1	5,539	(5,539)	-	-
Transfer from Stage 3 to Stage 2	-	41,920	(41,920)	-
Transfer from Stage 3 to Stage 1	116,445	-	(116,445)	-
Movements due to risk parameter and other changes	(389,767)	(180,866)	8,959,421	8,388,788
New financial assets originated or purchased, net of repayment	208,681	19,362	265,038	493,081
Financial assets settled during the year	(481,634)	(40,514)	(1,765,671)	(2,287,819)
Write-offs	(53,123)	(167,172)	(5,814,437)	(6,034,732)
As at 31 December 2021	249,321	44,295	12,684,685	12,978,301

The general creditworthiness of a customer tends to be the most relevant indicator for credit quality of a loan extended to it. However, collateral provides additional security and the Company generally requests that borrowers provide it. The Company may take collateral in the form of deposits.

	2021		2020	
	Carrying amount PGK	Collateral PGK	Carrying amount PGK	Collateral PGK
Stage 1 and 2	60,161,264	17,617,304	60,988,878	32,603,483
Stage 3	27,735,112	36,188,877	33,971,026	45,028,231
	87,896,376	53,806,181	94,959,904	77,631,714

Notes to the Financial Statements
For the Year Ended 31 December 2021

23 Financial risk management (continued)

(a) Credit risk (continued)

(ii) Amount arising from ECL

Significant increase in credit risk

When determining whether the risk of default on the financial instrument has increased significantly since initial recognition, the Company considers reasonable and supporting information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Company's historical experience and forward-looking information. The objective of the assessment is to identify whether a there has been a significant increase in credit risk and if so, the change in the remaining lifetime probability of default (PD) compared to the PD at initial recognition.

The Company uses three criteria for determining whether there has been a significant increase in credit risk:
- a quantitative test based on movement in PD
- qualitative indicators; and
- a backstop of 30 days past due, for which a backstop of 15 days past due is applied.

Definition of default

The Company considers a financial asset to be a default when:

- the borrower is unlikely to pay its credit obligations to the Company in full, without recourse by the Company to action such as realising security;
- the borrower is more than 90 days past due on any material credit obligation to the Company. Overdrafts are considered as being past due once the customer has breached an advised limit or been advised of a limit smaller than the current amount outstanding; or
- it is becoming probable that the borrower will restructure the asset as a result of bankruptcy due to the borrower's inability to pay its credit obligations;
- in assessing whether a borrower is in default, the Company considers indicators that are:
    - qualitative: e.g. breaches of covenant;
    - quantitative: e.g. overdue status and non-payment on another obligation of the same issuer to the Company; and
- based on data developed internally and obtained from external sources.

Inputs into the assessment of whether a financial instrument is a default and their significance may vary over time to reflect changes in circumstances.

The definition of default largely aligns with that applied by the Company for regulatory capital purposes.

Notes to the Financial Statements
For the Year Ended 31 December 2021

23 Financial risk management (continued)

(a) Credit risk (continued)

(ii) Arising from ECL (continued)

Large credit exposure

Large credit exposures ("LCE") are monitored as part of credit risk management. These are the top 25 loan relationships or loan balances of the Company. As at 31 December, details of LCE are as follows:

	2021 PGK	2020 PGK
Top 25 LCE	**4,754,146**	4,774,115
Percentage of LCE to total loans before provision	**5.41%**	5.03%
Percentage of LCE to total capital base	**25.71%**	82.89%

The Company's major classes of financial assets are bank deposits, investments held with Central Bank and loans and advances to customers (Note 11).

Incorporation of forward-looking information

The Company incorporates forward-looking information into both the assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and the measurement of ECL.

The Company formulates three economic scenarios: a base case, which is the central scenario developed internally based on consensus forecasts, and two less likely scenarios, one upside and one downside scenario. The central scenario is aligned with information used by the Company for other purposes such as strategic planning and budgeting.

	2021			2020		
	Upside	**Central**	**Downside**	Upside	Central	Downside
Scenario probability weighting	**10%**	**70%**	**20%**	10%	70%	20%

Sensitivity analysis

The ECL are sensitive to judgements and assumptions made regarding formulation of forward-looking scenarios and how much scenarios are incorporated into the calculations. Management performs a sensitivity analysis on the ECL by considering impact of their possible changes in different scenarios. Set out below are the changes to the ECL as at 31 December 2021:

- If weight of upside scenario remained at 10%, downside scenario increased from 20% to 40% and base scenario decreased from 70% to 50%, impairment provision would increase by PGK571,260.

- If weight of upside scenario decreased from 10% to 0%, downside scenario increased from 20% to 30% and base scenario increased remained at 70%, impairment provision would increase by PGK416,797.

23 Financial risk management (continued)

(a) Credit risk (continued)

(ii) Arising from ECL (continued)

Measurement of ECL

The key inputs into the measurement of ECL are the term structure of the following variables:

- probability of default (PD);
- loss given default (LGD); and
- exposure at default (EAD).

ECL for exposures in Stage 1 are calculated by multiplying the 12-month PD by LGD and EAD Lifetime ECL are calculated by multiplying the lifetime PD by LGD and EAD.

LGD is the magnitude of the likely loss if there is a default. The Company estimates LGD parameters based on the history of recovery rates of claims against defaulted counterparties. The LGD models consider the structure, collateral, seniority of the claim, counterparty industry and recovery costs of any collateral that is integral to the financial asset. For loans secured by retail property loan-to-value (LTV) ratios are a key parameter in determining LGD. LGD estimates are recalibrated for different economic scenarios and, for lending collateralised by property, to reflect possible changes in property prices. They are calculated on a discounting factor.

(iii) Write off policy

The Company may consider write off of loan receivables following default which is 90 days in arrears. Loans in arrears in excess of 360 days (unless collection is in process) are in normal process written off in accordance with BPNG prudential standards, as well as other financial assets, which are overdue less than 360 days, if the Company assesses that there is no reasonable expectation of their recovery (i.e., that recovery of full amounts is not probable). Indicators that there is no reasonable expectation of recovery include (i) loans being overdue more than 360 days; (ii) low likelihood of successful enforcement activity; and (iii) where the Company's recovery method is foreclosing on collateral and the value of the collateral is such that there is no reasonable expectation of recovering in full.

The Company may write-off financial assets that are still subject to enforcement activity. The Company still seeks to recover amounts it is legally owed in full, but which have been written off due to no reasonable expectation of fully recovery.

(iv) Modification of financial assets

The Company may modify the terms of loans through re-scheduling through commercial renegotiations, for distressed loans, with a view to assisting a borrower under stress and/or maximizing recovery. Company's practice is not to use renegotiation and/ or restructuring of loans and advances to customers in managing credit risk. During this period the Company primarily relied on its monitoring and collection activities, including regular communication with overdue customers, as well as enforcement activities in case of collateralized loans. In accordance with its business model, in case of defaulted loans, the Company ensured that sufficient impairment provision is created, and necessary write offs made in accordance with its write off policy, as these losses were compensated by the Company's interest rate margin. Therefore, the Company had no modified financial assets as at 31 December and there were no cases of modification of loans during 2021 that would result either in derecognition of loans or recognition of gain or loss on modification.

Notes to the Financial Statements
For the Year Ended 31 December 2021

23 Financial risk management (continued)

(a) Credit risk (continued)

(v) Collateral and other credit enhancements

To mitigate its credit risks on financial assets, the Company seeks to use collateral, where possible. The Company has internal policies on the acceptability of specific classes of collateral or credit risk mitigation. The collateral comes in various forms. The principal collateral types for loans and advances are:

- Cash deposits
- Fixed assets such as vehicles and other property
- Mortgages over residential properties

The Company prepares a valuation of the collateral obtained as part of the loan origination process.

The Company's policies regarding obtaining collateral have not significantly changed during the reporting period and there has been no significant change in the overall quality of the collateral held by the Company since the prior period.

The Company closely monitors collateral held for financial assets considered to be credit-impaired, as it becomes more likely the Company will take possessions of collateral to mitigate potential credit losses.

(b) Liquidity risk

(i) Maturity analysis for financial liabilities and financial assets

31 December 2021	Less than 12 months	1-2 years	2+ years	Total
Cash and cash equivalents	**18,004,275**	**-**	**-**	**18,004,275**
Investments held with Central bank	**34,390,188**	**-**	**500,000**	**34,890,188**
Loan and advances to customers	**37,771,872**	**40,133,093**	**9,991,411**	**87,896,376**
	90,166,335	**40,133,093**	**10,491,411**	**140,790,839**
Deposits from customers	**118,221,180**	**-**	**-**	**118,221,180**
Provisions	**1,023,187**	**-**	**-**	**1,023,187**
Other liabilities	**5,648,580**	**-**	**-**	**5,648,580**
	124,892,947	**-**	**-**	**124,892,947**

Notes to the Financial Statements
For the Year Ended 31 December 2021

23 Financial risk management (continued)

(b) Liquidity risk (continued)

(i) Maturity analysis for financial liabilities and financial assets

31 December 2020	Less than 12 months	1-2 years	2+ years	Total
Cash and cash equivalents	17,295,611	-	-	17,295,611
Investments held with Central bank	24,588,986	-	-	24,588,986
Loans and advances from customers	32,850,453	47,785,994	14,323,457	94,959,904
	74,735,050	**47,785,994**	**14,323,457**	**136,844,501**
Deposits from customers	114,005,441	-	-	114,005,441
Provisions	1,012,483	-	-	1,012,483
Other liabilities	4,760,567	-	-	4,760,567
	119,778,491	**-**	**-**	**119,778,491**

(ii) Categories of financial instruments

	2021 PGK	2020 PGK
Financial assets		
Cash and cash equivalents	**18,004,275**	17,295,611
Investments held with Central bank	**34,890,188**	24,588,986
Loans and advances to customers	**74,918,075**	82,540,921
Financial liabilities		
Deposits held	**118,221,180**	114,005,441
Other liabilities	**5,648,580**	4,760,567
Borrowings	**3,915,347**	18,104,057

(iii) Fair value measurements

As at reporting date the carrying value of the financial instruments approximated their fair value. The fair value of long-term financial assets and liabilities are estimated by discounting the future contractual cash flows at the current market interest rate that is available to the Company for similar instruments as summarise below:

Financial assets measured at amortised cost		
Cash and cash equivalents	**18,004,275**	17,295,611
Investments held with Central bank	**34,890,188**	24,588,986
Loans and advances from customers	**74,918,075**	82,540,921
	127,812,538	124,425,518

Notes to the Financial Statements
For the Year Ended 31 December 2021

23 Financial risk management (continued)

(b) Liquidity risk (continued)

(iii) Fair value measurements (continued)

	2021 PGK	2020 PGK
Financial liabilities measured at amortised costs		
Deposits from customers	**118,221,180**	114,005,441
Borrowings	**3,915,347**	18,104,057
	122,136,527	132,109,498

(c) Capital risk

The Company manages its capital through profit maximisation in order to provide a return to its shareholders. The Company accepts deposits as a means of funding its lending activities. Excess funds are traded into short term financial market instruments such as treasury bills.

(d) Market risk

(i) Currency risk

Transactions in foreign currencies are insignificant and therefore exposure of the Company to the fluctuation in foreign exchange rates is minimal.

(ii) Price risk

The Company is not exposed to significant equity securities price risk arising as it has no equity securities.

(iii) Interest rate risk

Interest rate risk in the statement of financial position arises from the potential for a change in interest rate to have an adverse effect on the revenue earnings in the current reporting period and future years. As interest rates and yield curves change over time, the Company may be exposed to a loss in earnings due to the effects of interest rates on the structure of the statement of financial position. Sensitivity to interest rates arises from mismatches in the re-pricing dates, cash flows and other characteristics of the assets and their corresponding liability funding.

These mismatches arise mainly in the short-term interest rate repricing bucket as the Company does not offer longer-term Kina fixed rate products. There are also no interest rate derivative products in the local market to facilitate the close-out of this interest rate risk mismatch. The interest rate risk is actively managed as part of the overall interest rate risk management process governed by the Board, which meets regularly to review the effects of fluctuations in the prevailing levels of market interest rates on the financial position and cash flows of the Company. The objective of interest rate risk control is to minimise these fluctuations in value and net interest income over time, providing secure and stable sustainable net interest earnings in the long term.

Notes to the Financial Statements
For the Year Ended 31 December 2021

23 Financial risk management (continued)

(d) Market risk (continued)

(iii) Interest rate risk (continued)

The table below illustrates the interest sensitivity of financial assets and liabilities at the balance date. Given the profile of assets and liabilities as at 31 December, 1% increase or decrease in rates will impact the Company's net interest income as follows:

	Outstanding balance PGK	Changes in interest rates	Effect on net interest income PGK
31 December 2021			
Cash and cash equivalents	**18,004,275**		
Loans and advances to customers	**74,918,075**		
	92,922,350	**+/-1%**	**929,224**
Investments held with Central bank	**34,890,188**	**+/-1%**	**348,902**
31 December 2020			
Cash and cash equivalents	17,295,611		
Loans and advances to customers	82,540,921		
	99,836,532	+/-1%	998,365
Investments held with Central bank	24,588,986	+/-1%	245,890

Notes to the Financial Statements
For the Year Ended 31 December 2021

24 Related parties

(a) Related party register

The following details are recorded in the interest register:

Name	Nature of interest	Company
Allan Marlin	Chairman	-
Jason McIlvena	Director	AON Master Trust LTD
Paul Nindipa	Director	NKA Accountants
	Director	Allhambra Limited
	Director	Matthew Gollan Design and Development (PNG) Limited
Carol Kidu	Director	Bougainville Copper LTD
Wavie Kendino	Director	Pacific Health Placements Limited
Arthur Vera	Director	Asia Pacific Communication Specialist Ltd.
	Director	Bakerite Limited
Peter John Aitsi	Director	PNG FM Limited
	Director	Steamships Trading Company Limited

(b) Directors' remuneration

	2021 PGK	2020 PGK
Allan Marlin	**84,000**	84,000
Jason McIlvena	**63,000**	63,000
Paul Nindipa	**63,000**	63,000
Carol Kidu	**63,000**	63,000
Wavie Kendino	**63,000**	63,000
Arthur Vera	**-**	-
Peter John Aitsi	**-**	-
	336,000	336,000

(c) Loans to related parties

Loans to related parties	**3,065,864**	3,117,326

The bank has provided several of its key management personnel with short-term loans at rates comparable to the average commercial rate of interest.

The loans to key management personnel are not secured.

Notes to the Financial Statements
For the Year Ended 31 December 2021

24 Related parties (continued)

(d) Compensation of key management personnel

The remuneration of Directors and key executives is determined by the remuneration committee having regard to the performance of individuals and market trends.

	2021 PGK	2020 PGK
Short-term benefits	**2,390,900**	2,892,064

25 Contingent liabilities

A number of legal proceedings against the Company were outstanding as at 31 December 2021. For all litigation exposure where a loss is probable, an appropriate provision has been made. Based on information available at 31 December 2021, the Company estimates a contingent liability of K1,926,043 (2020: K334,043) in respect of these proceedings.

26 Capital expenditure commitments

There are no capital commitments as at 31 December 2021 (2020: Knil).

27 Events after the reporting period

Subsequent to the financial reporting date, the Company had reported accumulated retained earnings of K3.23 million. The Core capital and Supplementary capital of the Company has improved significantly and stand at K10.77 million and K5.13 million respectively. The calculated Tier 1 capital adequacy ratio of 11% and Total capital adequacy ratio of 16% are above the required minimum ratio prescribed by BPNG in accordance with prudential standard 1/2003.

The spread of Covid-19 subsequent to year end is still impacting businesses globally and constitutes a "Non-Adjusting Subsequent Event" as defined in IAS 10 'Events after the Reporting Period'. The Directors of the Company believe that direct financial impact is unlikely to be material as the carrying amount of significant assets and liabilities recognised in the financial statements are not materially sensitive to market factors or forward-looking assumptions other than loan recoverability should conditions materially deteriorate.

There has been no other transactions or events of a material and unusual nature between the end of reporting period and date of the report likely, in the opinion of the Directors of the Company, to affect significantly the operations of the Company, the results of those operations, or state of the Company in future years.